

CONFERENCE CALL NOTES: Iran update

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Conference Call Note

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Iran update

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Eurasia Group now places the odds of US-Iran de-escalation at 60%, with the risk of escalation at 30%, driven by a closed US escalation window and meaningful diplomatic progress.

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A deal is not imminent because Iran may raise its demands, the US faces stockpile and congressional constraints, and President Donald Trump's reliability remains a key variable.

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Any agreement will be temporary and fragile because the Strait of Hormuz remains mined and the underlying drivers of confrontation persist.

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Speakers:

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Marc Gustafson, Managing Director for Analysis (Moderator)

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Gregory Brew, Senior Analyst, Iran and Energy

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Clayton Allen, Practice Head, United States

Scenario Shift: De-escalation Now the Base Case

Eurasia Group has revised its scenario probabilities: de-escalation is now the base case at 60%, with escalation risk remaining elevated at 30%. Two factors drive this. First, the US escalation window has closed — after two consecutive weekends of Trump threatening major military action against Iran and backing down, the credibility and utility of that option has diminished. Second, diplomatic progress is accelerating, with reporting suggesting the US is now willing to accept a temporary deal that acknowledges Iran's claim of control over the Strait of Hormuz.

An end game involving Iranian control of the Strait was always the likely outcome — the question was whether it would come before or after US escalation. It now appears to be arriving without it. (For more, please see De-escalation likely as US leans toward temporary fix to open strait , 4 August 2026.)

Three Steps to Reopening the Strait

De-escalation requires three sequential steps:

1.

Iran-Oman bilateral agreement on a new traffic management mechanism. The current proposal involves inbound traffic using Iran's northern route (hugging the Iranian coastline) and outbound traffic using the southern Omani route, effectively creating joint control of the waterway. Iran requires Oman's sign-off given shared sovereignty.

2.

GCC and US acquiescence. Omani negotiations appear to be coordinated with the broader Gulf Cooperation Council (GCC). Saudi Arabia is actively engaged. The US will need to accept the arrangement, likely implicitly or via mediators.

3.

US de-escalation, specifically ending the US blockade. Iran has been explicit: the Strait will not reopen until the US backs down. The shape of US de-escalation — and whether it includes additional financial concessions — remains the key variable that could delay a deal.

Why the Deal Remains Fragile

Even if a deal is reached, we expect instability:

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Iran's price tag may rise. Iran appears confident and is likely to push beyond ending the blockade — including revival of the June Memorandum of Understanding (MOU), release of frozen funds, return of the oil sanctions waiver, and potentially the right to charge fees in the Strait. The fee mechanism is currently off the table in the interim arrangement, but Iran is expected to push for it in future rounds.

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Congressional constraints. Any deal that unfreezes sanctioned assets must be submitted to Congress for review. Congress cannot kill it (a two-thirds veto-proof majority is required), but a 30–60 day delay is possible, complicating Trump's ability to deliver on Iranian demands within the reported 60-day agreement window.

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Trump's reliability. The pattern of Trump approaching a deal, then changing demands or walking away, remains a structural risk. A small advisory circle and mercurial decision-making compound this.

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Mines in the central waterway. The Traffic Separation Scheme (TSS) remains heavily mined. Clearing operations could take several more months, making this by definition an interim arrangement. Full traffic restoration is not possible until the TSS is cleared.

Oil Market Outlook: 30–50% Traffic Recovery Near-Term

If de-escalation is achieved in the coming weeks, our base case is that Strait traffic recovers to 30–50% of pre-war levels by end of year — roughly 50 ships per day at the upper bound. We do not expect

durable traffic above that threshold for two reasons: residual security uncertainty and the uncleared mines.

On oil prices, our band is \$65–75/barrel into 2027. Key variables: Chinese import behavior (pre-war China was importing 1–2 million barrels per day above consumption into strategic reserves, a major price support), SPR refill pace across Japan, Europe, and the US, and persistent demand destruction if market participants price in continued closure risk. European SPR refill may be less aggressive than in prior cycles due to declining per-day consumption benchmarks tied to the energy transition. US SPR rebuilding will face some political and structural pressure, but the loan-based drawdown mechanism means some oil will return to the SPR automatically — potentially at lower prices, netting balance sheet gains that could fund capacity expansion.

Longer-Term Outlook: Unsteady Truce, Not Stable Equilibrium

We expect continued instability beyond any near-term deal:

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Iran is more risk-tolerant, more IRGC-dominated, and emboldened by recent wins. It will continue using force.

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Strikes on Iranian territory, once unthinkable, are now normalized.

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The nuclear issue remains unresolved. Iran's highly enriched uranium (HEU) stockpile is intact and buried at Esfahan; centrifuge components are reportedly stored at the Pickaxe Mountain complex. The program is currently dormant but will not remain so indefinitely. Internal debate within Iran on weaponization is active.

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Nuclear negotiations are unlikely to produce durable progress this year or into next. When Iran re-engages its nuclear program, it will likely reignite the confrontation.

Key Watch Items

1.

Iran-Oman announcement on a new Strait management mechanism — the foundational first step for any de-escalation.

2.

US blockade removal — the minimum Iranian ask before the Strait reopens.

3.

Iranian diplomatic travel — reported potential trips by House Speaker Ghalibaf and Foreign Minister Araghchi to Islamabad signal engagement with Pakistani mediators.

4.

Trump's posture and advisor dynamics — watch for shifts in US demands or public framing, particularly as midterms approach and the "winning" narrative matters to Trump.

5.

Chinese oil import levels — a return to 10–11 million barrels per day would signal aggressive strategic stockpile rebuilding and support prices above the current band.

6.

Mine-clearing progress in the TSS — the pace of demining will determine whether full Strait traffic recovery is achievable within 2026 or pushes into 2027.

What Clients Are Asking

Long-term Strait stability: Clients asked whether we are entering a cycle of recurring closures. We see an unsteady truce rather than stable de-escalation — Iran is more emboldened, strikes on Iranian territory are now normalized, and the nuclear issue remains a future flashpoint. Periodic closures, likely triggered by Iranian responses to provocations rather than proactive demands, are the expected pattern.

Iran's proxy network post-deal: Clients asked how separate the Houthi and Iraqi militia conflicts are from the US-Iran track. Iraqi militias are closely directed by the Islamic Revolutionary Guard Corps (IRGC) and will likely stand down with a US-Iran deal; Houthi de-escalation in the Red Sea will take longer, as the Houthis have their own demands from Saudi Arabia (financial concessions, end to the Sana'a airport air blockade) and are less responsive to Tehran's pressure.

Sanctions relief mechanics: Clients asked what the breaking news on OFAC removals meant for the broader sanctions picture. The removed entities are Iraq-linked (airlines, individuals previously designated for IRGC ties) and are likely downstream of US-Iraq relations rather than a signal on Iran oil sanctions specifically. Oil sanctions waivers — the most likely near-term instrument — are executive-order-level hall passes that can be issued and revoked rapidly, with no congressional review required, but carry no legal durability. The last waiver was reportedly in place for 15 days.

Israel as spoiler: Clients asked whether Netanyahu could disrupt a deal. Israel is a price taker in this dynamic — it lacks the ability to escalate unilaterally against Iran without US buy-in. Israel has stayed out of the current conflict, and Iran has deliberately avoided targeting Israel. Netanyahu's recent Oval Office visit was about relationship maintenance ahead of Israeli elections, not pulling the US into deeper war. Escalation between Israel and Hezbollah ahead of October Israeli elections remains a risk, but the US is actively restraining it.

Republican political blowback: Clients asked whether MAGA opposition to a deal that cedes Strait control to Iran could deter Trump. Our view: not significantly. Lindsey Graham's death removed one of the most influential voices pushing back on Iran deals within Trump's close advisory circle. Trump's open conflict with Senate Majority Leader John Thune limits the Senate conference's influence. Trump will frame whatever he does as a win. The risk is more to Rubio's 2028 positioning than to the deal itself, though that calculus changes as the election approaches.

Trump's interventionism elsewhere post-Iran: Clients asked whether the Iran experience makes Trump more or less interventionist globally. Trump will remain engaged but will not repeat a large-scale military intervention. Cuba tops the near-term list (Raúl Castro indictment noted as a signal). Latin America broadly remains active. Greenland is noise. The lesson Trump appears to have drawn is that targeted, discrete actions — not sustained high-tempo operations — are his preferred instrument going forward.

Please note that while this AI generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

Marc Gustafson
Managing Director, Analysis
+1 202.540.5144
gustafson@eurasiagroup.net
Clayton Allen
Practice Head, United States
+1 202.903.0027
allen@eurasiagroup.net
Gregory Brew
Senior Analyst, Iran & Energy
+1 646 259 3207
brew@eurasiagroup.net
EG Middle East & North Africa
mena@eurasiagroup.net

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